

Audit Report — HYT × LDH Construction Contract Review

Purpose: To document the analytical basis, decision trail, and authorisation scope of the present AI-assisted contract review, for post-hoc verification by HYT's Legal Lead and/or external counsel. **Review**
Date: 2026-06-04 | **Tool:** HYT Contract Risk Review Skill v1.6.2

(a) Stage 1–7 Confirmation Record

Stage	Item	Confirmation Result
1	HYT's role	Party A (Principal / Investor, The Investor)
1	Counterparty nationality	Vietnam (LDH, a Vietnamese local construction company)
1	Counterparty nature	Foreign counterparty (HYT registered in Taiwan)
2	Source language	Vietnamese + English (bilingual parallel)
2	Output language	Vietnamese / English / Traditional Chinese (trilingual parallel)
3	Contract type	Procurement Contract (with commissioned factory construction)
4	Legal-clauses reference path	<code>references/1.Law/Procurement Contract/Vietnam/</code> (5 files: Civil Law / Tax Law / Cross-Border / Compliance and Regulations / IP and Confidentiality) — adopted
5	Dispute-pattern reference path	<code>references/2.Dispute/Procurement Contract/Procurement_Contract_Dispute_Types(Vietnam).md</code> — adopted
6	Analytical Points	<code>references/3.Analysis/Procurement Contract/Procurement_Contract_Analytical_Points.md</code> — adopted built-in four-dimensional analysis + 23 mandatory review items
7	Output format	<code>references/4.Output/Procurement Contract/Procurement_Contract_Output_Format.md</code> — adopted
—	Common Terms	<code>references/5.Resolution/Three-in-One_Dispute_Resolution_Package.md</code> — auto-applied

(b) Citation Inventory

Category	Source	Article / Type
Legal clauses	Vietnamese Commercial Law 2005	§ 301 (8% mandatory ceiling on penalty); § 302 / § 307 (coexistence of penalty and damages); § 306 (default interest); § 318 (3 / 6-month complaint period)
Legal clauses	Vietnamese Civil Code 2015	§ 278 (performance period); § 423 (statutory rescission); § 605 (liability for serious construction defects)
Dispute patterns	Vietnamese Procurement Contract	4-1 (coexistence of penalty and damages); 6-1 / 6-2 (deemed acceptance / complaint period); 7-1 / 7-6 (advance payment and bank guarantee); 2-1 (specification version control); 2-6 (confidentiality of design drawings)
Common Terms	Three-in-One Dispute Resolution Package	§ 4.2 decision matrix; § 4.4 number of arbitrators; § 5 sensitive industries; § 6 transshipment trade; § 8.2-A (VIAC template); § 8.3-L1 (language priority)
Analytical Points	Procurement Contract	Red lines R2 / R5; escalation triggers E2 / E3 / E5; mandatory items #6 / #7 / #9 / #11 / #15 / #16 / #18 / #20 / #22 / #23

(c) Stage 10 Interactive Amendment History

- **Confirmation mode:** (A) Clause-by-clause confirmation
- **Number of rounds:** 1 round (the user elected to terminate after Round 1)

#	Clause	Recommendation	Risk	Decision
1	7.3	VIAC arbitration package + 30-day negotiation	●	Accepted
2	7.x [New]	Language priority (English version prevails)	●	Accepted
3	4.1	Advance payment 25% + APG + retention 10%	●	Accepted
4	6.1	Deemed-acceptance period extended to 14 days + latent defects excluded	●	Accepted
5	8 [New]	Confidentiality obligation	●	Accepted
6	2.3	Coexistence of penalty and damages	●	Accepted
7	5.1	Warranty extension + rolling + \$ 605	●	Modified and accepted (revised to 36 months)
8	9 [New]	Scope of liability + carve-outs from liability cap	●	Accepted
9	7.7	Party A's right to terminate for delay / at convenience	●	Accepted
10	10 [New]	Subcontracting and assignment restrictions	●	Accepted
11	7.y [New]	Compliance + boilerplate provisions	●	Accepted
12	2.1	Schedule commencement aligned with payment	●	Accepted
13	4.4	Late-payment interest changed to base rate	●	Accepted
14	1.x [New]	ECN change procedure	●	Accepted

- **Version evolution:** Original Contract → Revised_v1 (all recommendations adopted; warranty 36 months)
- **Residual risk evolution:** ● × 5 / multiple ● → After Round 1, **no remaining** ●; residual ● × 3, ● × 4

(d) Newly Identified Scenario by AI (No R / E Code Assigned)

Scenario	Triggering Conditions	Handling	Note
Foreign technology-sector principal engaging a local contractor for on-site construction within the factory without confidentiality / access-control / image-capture provisions	HYT in advanced technology sector + contractor's physical presence in the factory + absence of confidentiality clauses	 , mapped to existing mandatory items #15 / #18	The user must decide whether to manually update <code>Procurement_Contract_Analytical_Points.md</code> and formally incorporate this scenario into the R / E list. Until such update, no code is assigned.

(e) Final Decisions on Open Items

#	Item	AI Recommendation	Final Decision	Status
1	Advance payment ratio	25%	25% + APG	Resolved
2	Warranty period	24 months	36 months (user-specified)	Resolved

(f) Auto-application Results of the Three-in-One Package

Item	Result
Counterparty nature determination	Foreign counterparty (Vietnam)
Sensitive-industry detection	No (subject matter is general office renovation; no semiconductor / AI or other critical keywords)
Transshipment-trade detection	No (place of performance in Ho Chi Minh City, within Vietnam)
Arbitration institution	VIAC
Arbitration seat / languages	Ho Chi Minh City / Vietnamese + English
Number of arbitrators	1 ( contract value $\approx$ USD 89,330 < USD 100,000)
Language priority	English version prevails (L-1)
 Exception triggered	Only small-amount adjustment (single arbitrator); neither sensitive-industry nor transshipment-trade exceptions triggered

This audit report shall be archived together with the risk review report and the finalised contract, for verification and accountability attribution.